

AGM Code and Process vs. AGM Manuals

Expanded assessment containing the nine previously accepted findings and eight additional, distinct manual-alignment gaps. Duplicate proposed sanctions findings were deliberately excluded.

SCOPE AND DECISION RULE

The review compares the documented current-state workflows with the AGM AML Compliance Manual, Financial Sanctions Compliance Policy, and AML/CFT Risk-Based Approach Procedure. A finding is included only where the manuals state a concrete obligation and the current process either does not perform it or cannot retain reliable evidence that it occurred.

The earlier proposed sanctions-source and screening-method findings were not added separately because they substantially overlapped the accepted screening and disposition work. The eight additions focus on distinct lifecycle controls: corporate ownership, PEP/EDD, suspicious-activity reporting, Source-of-Funds, ongoing CDD, training, institutional risk assessment, and annual compliance governance.

ASSESSMENT SUMMARY

- 17 confirmed findings: nine retained or narrowed from the prior assessment and eight new distinct findings.
- The most urgent new control is the restricted suspicious-activity investigation and SAR/STR lifecycle.
- Training, institutional risk assessment, and annual compliance reporting are definite documentation/evidence gaps; they may operate elsewhere, but the governed process library does not identify their authoritative evidence.
- No additional OCR, translation, interface, or document-recategorization items were elevated merely to increase the count.

Previously accepted findings

1. AML risk calculation does not match the manuals

KEEP - MATERIAL ALIGNMENT ISSUE

The production assessment and the manuals do not identify the same authoritative risk model. The production formula may be reasonable, but it is not the formula documented as approved.

CURRENT CODE AND PROCESS

- Process 16 calculates five components: customer 30%, jurisdiction 25%, product 15%, delivery channel 15%, and introducer 15%.
- The RBA Procedure describes four components weighted 35%, 35%, 15%, and 15%.
- The AML Manual and its annex describe additional incompatible scoring scales and thresholds.

REMAINING DIFFERENCE FROM THE MANUALS

A reviewer cannot reproduce one authoritative score from the manuals and obtain the same result as the application. The ambiguity also changes which customers require EDD, senior approval, and enhanced review.

RECOMMENDED REMEDIATION

- Confirm whether the current five-component production model is AGM's intended model.
- Update the AML Manual, RBA Procedure, and annex to use one formula, scale, threshold set, and consequence model.
- Retain model version, inputs, component scores, final score, risk category, calculation date, and source records.
- Store overrides separately from the calculated result with reason and approval.

2. Daily screening needs coverage verification, not automatic full rescreening

REVISED - NARROWED TO COVERAGE PROOF

A full-population rescreen is not necessary merely because another day passed when the applicable lists and relevant customer data are unchanged and onboarding screening covered every new person.

CURRENT CODE AND PROCESS

- Process 09 screens linked contacts at Hub application finalization when they have no screening history.
- Process 10 exposes contacts, documents, and existing screenings to the AGM employee before IBKR submission.
- The scheduled job skips when OFAC, UK, and UN files are unchanged, before loading the current contact population.

REMAINING DIFFERENCE FROM THE MANUALS

The skip does not itself prove that there were no new, missed, failed, materially changed, or stale contacts. Onboarding tests for any historical screening row, not necessarily coverage against the current applicable source version.

RECOMMENDED REMEDIATION

- Before skipping, confirm that no new in-scope contact was added and that no required screening is missing, failed, stale, or unresolved.
- Treat relevant changes to name, role, ownership, country, or identity as screening triggers even when the source lists are unchanged.
- Retain counts for in-scope, already covered, newly screened, failed, unresolved, and validly skipped contacts.
- Do not create duplicate rows when an existing result is current and complete.

3. The compliance decision can occur at IBKR submission

REVISED - INTERNAL ACCOUNT CREATION IS NOT THE ISSUE

Creating an internal AGM application before final CDD approval is reasonable if it remains pending and the formal employee review occurs before submission to IBKR.

CURRENT CODE AND PROCESS

- Process 09 stores the application, creates or links contacts, uploads documents, and performs onboarding screening.
- The record remains an internal pending application until an AGM employee reviews it.
- Process 10 exposes the application payload, contacts, documents, screenings, and submission prerequisites before submission.

REMAINING DIFFERENCE FROM THE MANUALS

The workflow provides a review opportunity, but does not clearly retain the employee's review conclusion and the exact evidence considered at that moment.

RECOMMENDED REMEDIATION

- Keep internal application creation as the intake step.
- At submission, record reviewer, timestamp, application version, screenings and documents reviewed, conclusion, and comment.
- Distinguish draft, ready for review, reviewed for submission, submitted, and submission-failed states.
- Retain the submission attempt and IBKR result with the review evidence.

4. IBKR submission needs traceability, not necessarily a different process

REVISED - EVIDENCE IMPROVEMENT

The employee's decision to send an application to IBKR can remain the practical approval. The improvement needed is an append-only record of what happened, when, by whom, and why.

CURRENT CODE AND PROCESS

- Process 10 validates the payload, document presence, file data, metadata, document size, and other prerequisites.
- The employee chooses the master account and triggers submission.
- The application and submission result are retained, but not a complete review event.

REMAINING DIFFERENCE FROM THE MANUALS

Current evidence does not prove which contacts, documents, screenings, warnings, and application version were reviewed or why the application was considered ready.

RECOMMENDED REMEDIATION

- Create an append-only submission-review event.
- Record actor, timestamp, account, application version or checksum, reviewed record identifiers, warnings, rationale, and selected master account.
- Link the review event to the external request correlation id and IBKR result.
- Preserve the current employee workflow unless policy later requires a second approval.

5. Transaction monitoring remains below the manuals

KEEP - MATERIAL ALIGNMENT ISSUE

Process 17 is a useful on-demand review, but it is not the recurring, persistent monitoring and investigation process described by the manuals.

CURRENT CODE AND PROCESS

- Flags are calculated only when the Dashboard report is opened.
- The signed Amount > 10,000 test detects positive deposits but not negative withdrawals of the same magnitude.
- Rule, observed value, threshold, reviewer, status, and outcome are not persisted.
- Only append-only freeform comments are retained, with no controlled finding lifecycle.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals require recurring coverage, documented investigation, escalation, retained outcomes, and possible suspicious-activity reporting. The current process cannot prove complete period coverage or disposition of every issue.

RECOMMENDED REMEDIATION

- Run approved monitoring rules on a documented schedule against a reconciled transaction population.
- Treat transaction direction and absolute magnitude separately so large withdrawals are evaluated correctly.
- Persist rule, version, observed value, threshold, lookback, reviewer, status, explanation, escalation, and closure.
- Connect escalated findings to the restricted suspicious-activity lifecycle described in Finding 12.

6. Accounts Audit provides substantial manual coverage

REVISED - NARROWED TO VALIDITY AND REVIEW EVIDENCE

Account Focus and Contact Focus cover considerably more of the manual requirements than the earlier broad finding suggested.

CURRENT CODE AND PROCESS

- Account Focus covers application presence, holder coverage, document categories, financial comparisons, profile comparisons, status, NAV, and exports.
- Contact Focus covers person/company requirements, stages, missing categories, IBKR tasks, assignment, comments, outreach, uploads, history, and exports.
- Process 22 documents these two views correctly; there is no relevant Documents Focus view for this comparison.

REMAINING DIFFERENCE FROM THE MANUALS

Stage 3 proves required category names are present, but not necessarily that documents were accepted, current, readable, valid, and consistent with customer data. There is also no persisted overall audit-run certification.

RECOMMENDED REMEDIATION

- Keep Account Focus and Contact Focus as the operating review.
- Add validity, expiration, processing, and accepted/rejected conclusions where required.
- Expose material document-versus-profile mismatches when the supporting analysis exists.
- Retain audit-run id, filters, source dates, reviewer, population, exceptions, and completion conclusion.

7. Regulatory-file review can present misleading assurance

KEEP - KNOWN UPDATE ITEM

The regulatory file is already being updated. This finding remains a concrete implementation checklist for that work.

CURRENT CODE AND PROCESS

- Process 18 documents a call to an account-screening route that is not present in the current API.
- Some failures become empty collections, making unavailable data resemble zero results.
- False-positive and true-match values are hardcoded rather than loaded from retained decisions.
- The review and browser PDF export are not durable review events.

REMAINING DIFFERENCE FROM THE MANUALS

A regulatory file must distinguish a genuine clean result from unavailable, incomplete, failed, stale, or not-reviewed data.

RECOMMENDED REMEDIATION

- Use a valid screening endpoint and expose section-level load state.
- Display zero, unavailable, failed, incomplete, stale, and not-reviewed states distinctly.
- Load match dispositions only from retained reviewer decisions.
- Record reviewer, review date, source-as-of dates, outcome, and export artifact reference.

8. IBKR details used by compliance reviews can remain stale

KEEP - MATERIAL DATA-FRESHNESS ISSUE

Process 13 can carry forward existing account details and retrieve fresh information mainly for accounts missing from the retained file.

CURRENT CODE AND PROCESS

- Mutable status, associated persons, addresses, financial information, risk information, and roles can remain unchanged even when IBKR changed.
- Per-account failures can be skipped without making the output unusable.
- Screening, Accounts Audit, regulatory-file review, and reporting depend on this dataset.

REMAINING DIFFERENCE FROM THE MANUALS

A recently generated file is not necessarily a current snapshot when existing account records were carried forward. Downstream reviews cannot prove freshness or complete population coverage.

RECOMMENDED REMEDIATION

- Request current details for every in-scope account on each scheduled compliance refresh.
- Record expected, requested, successful, failed, skipped, and excluded accounts with retrieval timestamps.
- Classify each run as complete, partial, or failed and retain a checksum.
- Prevent incomplete runs from replacing the last complete compliance snapshot and show source date downstream.

9. Compliance actions need a connected evidence history

KEEP - CROSS-PROCESS TRACEABILITY ISSUE

The system retains many useful records, but they do not consistently form a connected history showing what happened, when, by whom, why, and with what result.

CURRENT CODE AND PROCESS

- Evidence includes applications, screenings, documents, assignments, comments, outreach, IBKR results, and exports.
- Some records are updated in place; screening lacks disposition; transaction comments lack a finding lifecycle; and reviews/exports are not consistently retained.
- The objective is traceability around existing operations, not wholesale redesign.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals require retained screening, monitoring, investigation, approval, filing, and related evidence. Isolated current-state records do not always reproduce the sequence or explain a later state.

RECOMMENDED REMEDIATION

- Add append-only events around material compliance actions.

- Record actor, action, timestamp, entity, reason, before/after values where relevant, correlation id, evidence, and external response reference.
- Link review, submission, screening disposition, transaction finding, document change, outreach, and export events.
- Do not overwrite original calculated results or evidence when later review or override occurs.

Additional distinct manual-alignment gaps

10. Corporate ownership and required-party coverage are incomplete

ADD - CLEAR MANUAL GAP

The manuals require complete identification, CDD, and screening of the entity and all applicable owners, directors, signatories, powers of attorney, and control persons. Current relationships do not provide a complete governed ownership and control structure.

CURRENT CODE AND PROCESS

- Account-contact links identify related contacts but do not consistently retain authoritative role, ownership percentage, control basis, or effective dates.
- Some screening and risk decisions select a first or most recent linked context rather than proving coverage of every required corporate party.
- Indirect ownership, intermediate entities, nominee relationships, and changes over time are not reconciled as one approved structure.

REMAINING DIFFERENCE FROM THE MANUALS

AGM cannot reliably prove who ultimately owns and controls every organization, why each person is in scope, and whether every required person has current KYC and screening.

RECOMMENDED REMEDIATION

- Approve one beneficial-ownership threshold and control test; the draft manuals currently conflict on thresholds.
- Store direct and indirect owners, percentages, intermediate entities, directors, signatories, controllers, nominees, roles, effective dates, and supporting evidence.
- Resolve every required natural person to a contact with individual KYC, documents, screening, and risk evidence.
- Trigger reassessment and block readiness when ownership or control is incomplete or materially changes.

11. PEP, relative/close-associate, and mandatory EDD controls are not a governed workflow

ADD - CLEAR MANUAL GAP

A PEP or adverse indicator can affect the production risk score when it already exists in source data. That is not equivalent to identifying, investigating, approving, and monitoring PEPs and relatives or close associates as required by the manuals.

CURRENT CODE AND PROCESS

- No documented process creates and dispositions PEP/RCA candidates from approved sources.
- No controlled EDD checklist proves that all required EDD measures were completed.
- IBKR submission does not require retained senior-management approval for a confirmed PEP/RCA or another mandatory EDD trigger.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals make EDD and senior-management approval mandatory for PEP/RCA relationships and other defined high-risk triggers. A risk-score input alone cannot evidence those decisions.

RECOMMENDED REMEDIATION

- Define approved PEP/RCA sources, coverage population, refresh frequency, matching, and review responsibility.
- Create pending, false-positive, confirmed, insufficient-information, and escalated dispositions with evidence and rationale.
- Create an EDD checklist covering employment, source of funds, source of wealth, enhanced monitoring, and applicable approvals.
- Block submission when mandatory EDD or senior approval is incomplete and calculate the next enhanced review date.

12. Suspicious-activity investigation and SAR/STR filing are absent**ADD - PRIORITY CONTROL GAP**

Transaction flags and screening findings do not enter the restricted investigation and regulatory-reporting lifecycle described by the manuals.

CURRENT CODE AND PROCESS

- Process 17 retains freeform transaction comments rather than a restricted investigation case.
- No process defines the internal SAR register, investigation ownership, filing decision, deadline, acknowledgment, confidentiality, or no-file rationale.
- SAR information is not structurally separated from ordinary operational notes.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals require written internal reporting, investigation, documented conclusions, five-working-day external filing when applicable, sanctions CRF handling, anti-tipping-off controls, and retained filing evidence.

RECOMMENDED REMEDIATION

- Create a restricted investigation linking alerts, transactions, parties, accounts, narrative, evidence, investigator, decision-maker, and deadlines.
- Track when suspicion first arose and support controlled file, do-not-file, continue-monitoring, and restrict-activity decisions.
- Retain FIA and CRF submission references, acknowledgments, dates, and supporting rationale.
- Keep filing existence and confidential content out of ordinary account notes and client communications.

13. Source-of-Funds and third-party funding verification are missing**ADD - CLEAR MANUAL GAP**

Source-of-Wealth describes how a customer accumulated wealth. It does not establish the origin and ownership of funds used for a particular deposit or transfer.

CURRENT CODE AND PROCESS

- The application and Accounts Audit capture or analyze Source-of-Wealth information.
- No governed process identifies the originating account holder, customer relationship, purpose, or evidence for a material or unusual funding event.
- Third-party funding can be commented on operationally without a controlled legitimacy, approval, or escalation decision.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals require Source-of-Funds corroboration for EDD and specifically identify third-party wires, checks, and deposits as triggers requiring verification, rationale, approval, and possible SAR consideration.

RECOMMENDED REMEDIATION

- Define risk-based Source-of-Funds triggers by amount, customer risk, funding method, country, payer, and expected activity.
- Retain originating institution, account holder, customer relationship, purpose, evidence, verification result, reviewer, and decision.

- Prohibit third-party funding or define narrow permitted circumstances and required approval.
- Route unexplained or inconsistent funding into transaction monitoring and the restricted investigation lifecycle.

14. Periodic and event-driven CDD reassessment is incomplete

ADD - CLEAR MANUAL GAP

Accounts Audit and screening pages support useful reviews, but they do not create the complete customer-review lifecycle required by the manuals.

CURRENT CODE AND PROCESS

- Accounts and contacts do not have one governed last-review date, next-review date, review reason, complete scope, and overdue status.
- Material changes in identity, ownership, activity, jurisdiction, or relationship data do not consistently create a reassessment case.
- A completed audit view does not automatically recalculate risk and set the next policy-based review date.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals require annual full file and risk review, more frequent reviews for higher-risk customers, and immediate review after defined trigger events.

RECOMMENDED REMEDIATION

- Store last CDD review, next due date, policy-based frequency, risk tier, trigger, and current status.
- Create due, overdue, and event-triggered cases for material customer, ownership, transaction, document, jurisdiction, and IBKR changes.
- Retain the exact information reviewed, source versions, changes found, reviewer, conclusion, updated risk, and next-review calculation.
- Escalate overdue high-risk reviews and prevent completion when mandatory scope remains unresolved.

15. AML and sanctions training is not governed in the process library

ADD - DEFINITE DOCUMENTATION/EVIDENCE GAP

The manuals require training before new employees handle client accounts, annual refresher training, role-specific sanctions content, assessment results, and retained evidence.

CURRENT CODE AND PROCESS

- No process among the reviewed library governs training assignment, completion, assessment, overdue escalation, or retention.
- Process 21 sends a manual-update notification but is not a training or acknowledgment control.
- Training may occur outside the repository, but the process library does not identify the authoritative system or retained evidence.

REMAINING DIFFERENCE FROM THE MANUALS

AGM cannot demonstrate from the governed process set that every in-scope employee completed initial and annual training and passed any required assessment.

RECOMMENDED REMEDIATION

- Create a short training-control process or reference the existing authoritative HR/training system.
- Retain employee, role, required course, policy version, assignment, completion, assessment result, evidence, and expiration or next-due date.
- Prevent untrained new personnel from receiving client or compliance responsibilities.
- Reconcile the in-scope employee population and overdue training at least annually.

16. Institutional Risk Assessment and Board approval are not represented

ADD - DEFINITE DOCUMENTATION/EVIDENCE GAP

The AML Manual requires a business-level Institutional Risk Assessment distinct from individual customer risk scores and approved by the Board.

CURRENT CODE AND PROCESS

- No reviewed process produces an annual assessment of AGM's business model, products, customers, geographies, channels, IBKR/counterparty exposure, and sanctions risk.
- No process retains the Board approval, effective version, or material-change reassessment.
- The customer risk model in Process 16 does not satisfy a business-level assessment.

REMAINING DIFFERENCE FROM THE MANUALS

The process library cannot demonstrate the standalone annual assessment and Board approval explicitly required by the manual.

RECOMMENDED REMEDIATION

- Establish an annual IRA process with defined inputs, scope, owner, reviewer, and Board approval.
- Retain the report, data-as-of dates, preparer, review date, approval evidence, effective version, and identified actions.
- Trigger interim updates after material changes to products, customers, jurisdictions, counterparties, business model, or regulation.
- Link monitoring scenarios, customer-risk rules, and remediation priorities to the approved IRA.

17. Annual compliance reporting and breach-register governance are undocumented

ADD - DEFINITE DOCUMENTATION/EVIDENCE GAP

The AML Manual assigns the AMLCO responsibility for maintaining a compliance-breach register, reporting serious breaches, and preparing annual compliance reports for the Commission and Board.

CURRENT CODE AND PROCESS

- Process 20 is investment-business metrics reporting, not the annual AML compliance report.
- Process 21 is a manual-update notification, not a breach-register or annual-report workflow.
- No reviewed process defines breach severity, regulatory-reporting decisions, resolution, annual certification, or submission evidence.

REMAINING DIFFERENCE FROM THE MANUALS

AGM cannot reproduce from the process library how breaches are governed or how annual compliance conclusions are prepared, approved, submitted, and acknowledged.

RECOMMENDED REMEDIATION

- Define the breach-register fields, severity, ownership, Commission-reporting decision, notification evidence, resolution, and closure approval.
- Produce the annual compliance report from reconciled control results, open breaches, filings, training, reviews, and remediation status.
- Record preparer, reviewer, Board submission, regulatory submission, dates, versions, and acknowledgments.
- If these records exist outside the applications, identify the authoritative repository and connect it to the process register.